

Commercial Lease — Summary Memo

Plain-text summary of the executed lease for 3128 Mission Street. Prepared for the tenant's records and insurance broker; not the full lease document.

Parties

- **Landlord:** 3128 Mission Holdings LLC c/o Calle Real Property Management 1455 Market Street, Suite 600, San Francisco, CA 94103 Contact: Daniel Okafor, Property Manager — (415) 555-0188
- **Tenant:** Taquería La Verbena LLC (a California single-member LLC) Signing member: María Elena Vargas

Premises

- **Address:** 3128 Mission Street (ground floor), San Francisco, CA 94110-4521.
- **Approximate leased area:** 900 sq ft.
- **Building:** 4-story mixed-use, constructed 1924; ground-floor commercial with residential apartments on floors 2–4.

Term

- **Initial term:** 5 years.
- **Commencement date:** 2024-05-01.
- **Expiration date:** 2029-04-30.
- **Options:** One (1) option to extend for an additional 5 years at fair-market rent (notice required 9 months prior to expiration).

Rent

- **Base rent:** \$5,400 / month, payable on the 1st of each month.
- **Annual escalator:** 3.0% on each anniversary of the commencement date.
- **Free rent / abatement:** None.
- **Late fee:** 5% of unpaid amount after a 5-day grace period.

Operating expenses (NNN)

Tenant pays its pro-rata share of:

- Real property taxes (tenant share: 22% of building total).

- Building insurance premiums passed through by landlord.
- Common-area utilities (water, trash, gas for hot-water heater).
- Tenant separately metered for electricity and pays directly to PG&E.

Security deposit

- **\$16,200** (3 months base rent), held in landlord's escrow account.

Permitted use

Operation of a limited-service restaurant (counter-service Mexican taquería). **No on-premises consumption of alcoholic beverages.** No live music, no amplified entertainment, no events that require a Place of Entertainment permit. Hours of operation no earlier than 7:00 AM and no later than 11:00 PM.

Insurance requirements (tenant)

The lease (Section 12) requires the tenant to maintain, at tenant's expense, the following coverages with carriers rated A- or better:

- **Commercial General Liability:** \$1,000,000 per occurrence / \$2,000,000 aggregate (occurrence form).
- **Property / business personal property:** Replacement-cost coverage for tenant's improvements, betterments, equipment, furniture, and inventory; not less than \$250,000.
- **Workers' compensation:** Statutory limits per California law.
- **Employer's liability:** \$1,000,000.
- **Business interruption:** Not less than 6 months of operating expenses.

Additional insureds (must be named on the GL policy):

- 3128 Mission Holdings LLC
- Calle Real Property Management
- (Mortgagee) Pacific Coast Federal Credit Union

Tenant must furnish a Certificate of Insurance (ACORD 25 / 27) at commencement and at each renewal, with **30 days' prior written notice of cancellation or non-renewal.**

Maintenance & repairs

- Tenant: interior of premises, plumbing fixtures inside the demised space, all kitchen-equipment installs, exhaust hood and grease trap.
- Landlord: roof, structure, exterior walls, building HVAC main, base plumbing/electrical to the point of tenant connection.

Assignment / sublet

Subject to landlord's prior written consent, not to be unreasonably withheld; no consent required for transfer to an entity wholly owned by the current member.

Personal guaranty

María Elena Vargas signed a limited personal guaranty equal to 12 months of base rent. Guaranty is released after 36 months of on-time payment (eligible 2027-05-01).